

THE STOCK'S GONE UP, SO I MUST BE RIGHT, OR... THE STOCK'S GONE DOWN SO I MUST BE WRONG

If I had to choose a great single fallacy of investing, it's believing that when a stock's price goes up, then you've made a good investment. People often take comfort when their recent purchase of something at \$5 a share goes up to \$6, as if that proves the wisdom of the purchase. Nothing could be further from the truth. Of course, if you sell quickly at the higher price, then you've made a fine profit, but most people don't sell in these favorable circumstances. Instead they convince themselves that the higher price proves that the investment is worthwhile, and they hold on to the stock until the lower price convinces them the investment is no good. If it's a choice, they hold on to the stock that's risen from \$10 to \$12, and they get rid of the one that's dropped from \$10 to \$8, while telling themselves that they have "kept the winner and dumped the loser."

That's just what might have happened back in 1981, when Zapata, an oil stock at the height of the energy boom, must have seemed far more pleasant to own than Ethyl Corp., a so-called "dog that got run over" because of the EPA ban on its main product—lead additives for gasoline. However, the "better" stock of these two went from \$35 to \$2, and you couldn't have bailed that one out with the Big Dipper. Meanwhile Ethyl was getting great results from its specialty chemicals division, improved performance overseas, and rapid consistent growth from its insurance operation. Ethyl stock went from \$2 to \$32.

So when people say, "Look, in two months it's up 20 percent, so I really picked a winner," or "Terrible, in two months it's down 20 percent, so I really picked a loser," they're confusing prices with prospects. Unless they are short-term traders who are looking for 20-percent gains, the short-term fanfare means absolutely nothing.

A stock's going up or down after you buy it only tells you that there was somebody who was willing to pay more—or less—for the identical merchandise.